

Municipal bonds are back

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Municipal bonds are back

We believe that tax-free municipal bonds continue to be well positioned in the current market environment. Their characteristics warrant a place in most retail investors' investment portfolios, and not just due to their appeal of relatively high taxable equivalent yields (TEYs). This subsector of fixed income is generally of very high-credit quality with significantly lower default levels relative to other sectors. Historically, it has acted as an important diversifier particularly for equity allocations, and after two straight years of record issuance levels, the technical picture looks solid.

Taxable-equivalent yields (TEYs) remain robust

In most instances, the income from municipal bonds is not subject to federal income tax and can also be exempt from state income tax for investors holding bonds in the state in which they reside. It is essential for comparison purposes to consider this feature when comparing municipal bonds to other subsectors of fixed income which are fully taxable, to get a true apples-to-apples comparison. This can be accomplished through the lens of taxable equivalent yield (TEY), which puts tax-free and taxable securities on an equal playing field.¹As Exhibit 1 shows, TEYs for the municipal bond sector are attractive across the yield curve relative to both US Treasuries and US investment-grade corporate bonds. As of the end of November 2025, the yield advantage continued to be most pronounced for the intermediate to long end of the curve, as it has steepened.

Exhibit 1: Municipal Bond TEYs Are Attractive across the Curve

Municipal Bond Yield Curve vs. US Corporate vs. US Treasury Yield CurveAs of 11/30/2025

Source: Bloomberg. Analysis by Franklin Templeton Institute. As of November 30, 2025. Muni AAA, Muni BBB, High Grade Corporate, and Treasury yields are based on Bloomberg Valuation Service (BVAL) AAA Muni Curve, BVAL General Obligation BBB+, BBB, BBB- Muni Yield Curve, BVAL US Corporate AA+, AA, AA- Curve and US Treasury Actives Curve, respectively. Taxableequivalent muni curve considers the top marginal effective tax rate of 40.8%. The tax-equivalent yield (TEY) is the yield on a taxable bond that an investor would have to earn to match the return on a comparable tax-free municipal bond. Indexes are unmanaged and one cannot directly invest in them. They do not include fees, expenses or sales charges.Past performance is not necessarily indicative nor a guarantee of future performance.See www.franklintempletondatasources.com for additional data provider information.

Credit quality remains high and is improving

The credit profile of the overall municipal bond market is extremely solid, in our view. As of third quarter of 2025, nearly three-quarters of the market was rated AAA or AA, up from less than two-thirds just a decade ago. Most of the remaining credit qualities in the municipal bond space are single A, with less than 10% of the market being BBB rated. Exhibit 2 illustrates this breakdown of credit quality over the last dozen calendar years.

Exhibit 2: Credit Quality in the Muni Market Has Improved

Municipal Bond Market? Breakdown by Credit RatingAs of 9/30/2025

Source: Bloomberg. Analysis by Franklin Templeton Institute. As of September 30, 2025. Composition of the Bloomberg Municipal Bond Index. Quarterly data. Indexes are unmanaged and one cannot directly invest in them. They do not include fees, expenses or sales charges.

Default level of municipal bonds is very low versus taxable bonds

As you might expect, the high credit quality in the municipal space has led to extremely low default rates for the asset class over the past decade. For every credit tier, from AAA down to CCC, the 10-year cumulative default rate for municipal bonds has been much lower than for corporate bonds of comparable credit quality. Our analysis suggests that in the investment-grade space, defaults have been almost 25 times higher for corporate bonds when compared to their

tax-free counterparts over the past decade. Exhibit 3 illustrates the default levels by credit quality rating for tax-free munis versus corporates and splits out investment-grade, non-investment-grade and all ratings.

Exhibit 3: Default Rates Are Historically Lower for Municipal Bonds than Those of Similarly Rated Corporates

Average 10-Year Cumulative Default Rates, 1970-2024

Source: Moody's US Municipal Bond Defaults and Recoveries, 1970-2024. Moody's. August 2025. Data shows the average 10-year cumulative default rates of Moody's rated corporate and municipal bonds for a study covering the period 1970-2024.

Municipal bonds can be a powerful diversifier

Over the past couple of decades, municipal bonds have been a very powerful diversifier, particularly to stock market indexes. Tax-free bonds have also had relatively low correlations with their taxable counterparts, especially high-yield bonds and US Treasuries. These important diversifiers can help dampen portfolio volatility in most cases, leading to investors staying invested throughout different market cycles. Exhibit 4 illustrates just how low the correlations have been with both equity and fixed income indexes over the past 20 years.

Exhibit 4: Diversification Benefits of Muni Bonds

Correlation of Municipal Bond Index to Equity and Other Fixed Income Asset Classes Last 20 Years Ending 11/30/2025

Source: Bloomberg. Analysis by Franklin Templeton Institute. Indexes: Bloomberg Municipal Bond Index; Developed Markets Equity is represented by MSCI World Index, Global Equity is represented by MSCI ACWI; US High-Yield Corporates is represented by Bloomberg Corporate High Yield Index; US Treasury is represented by Bloomberg US Treasury Index; Global Investment-Grade Bonds is represented by Bloomberg Global Aggregate Index; US Investment-Grade Corporates is represented by Bloomberg US Corporate Index. Correlation describes a complementary or parallel relationship between two investments. The correlation coefficient is a measure that determines the degree to which two variables' movements are associated and will vary from -1.0 to 1.0, with -1.0 indicating perfect negative correlation and 1.0 indicating perfect positive correlation. Based on monthly total returns. Past performance is not necessarily indicative nor a guarantee of future performance. Indexes are unmanaged and one cannot directly invest in them. They do not include fees, expenses or sales charges.

Technicals appear supportive of munis

Following two consecutive record years of tax-exempt municipal bond supply in 2024 and 2025, the supply/demand dynamics appear poised to return back to more normalized levels. We believe issuance levels will continue to remain high; however, they should be met with strong investor demand. After an incredibly challenging landscape in 2022 led to approximately US\$120 billion in net outflows, 2023 was a year of only modest outflows in the municipal market. In 2024 around US\$47 billion flowed into the asset class, and 2025 is on track to be another modestly positive year of inflows. Exhibits 5 and 6 illustrate supply and demand in the asset class.

Exhibit 5: Municipal Bond Supply Continues to Push Higher

Municipal Bond Issuance 2015-November 2025

Source: Bloomberg. Analysis by Franklin Templeton Institute.

Exhibit 6: Municipal Bond Flows Are Returning Strongly

Cumulative Annual Net Flows into Municipal Bond Funds As of 11/30/2025

Source: Morningstar Direct. Analysis by Franklin Templeton Institute. Data reflects cumulative mutual fund and ETF flows for each calendar year, shown monthly.

Conclusion

We believe there are many types of investment portfolios that can benefit from having allocations to tax-free municipal bonds. They offer attractive TEYs relative to their taxable bond counterparts, while acting as a powerful diversifier of equities and even other fixed income subsectors. Municipal bonds continue to have high credit quality with extremely low default rates, and elevated levels of supply are being well absorbed by the strong demand across the retail channel since flows turned positive in 2024. We also believe that the municipal bond market should benefit from future clarity

around both monetary and fiscal policy.

Endnote

TEY, or taxable-equivalent yield, is the yield on a taxable bond that an investor would have to earn to match the yield of a comparable tax-free municipal bond.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal.

The allocation of assets among different strategies, asset classes and investments may not prove beneficial or produce the desired results.

An investor may be subject to the federal Alternative Minimum Tax, and state and local taxes may apply.

Fixed income securities involve interest rate, credit, inflation and reinvestment risks, and possible loss of principal. As interest rates rise, the value of fixed income securities falls.

Low-rated, high-yield bonds are subject to greater price volatility, illiquidity and possibility of default.

To the extent the portfolio invests in a concentration of certain securities, regions or industries, it is subject to increased volatility.

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